



ADVANCED ACCOUNTING

(110)

NATIONAL – 2025

Multiple Choice (25 @ 2 points each) _____ (50 points)

Short Answers (28 @ 2 points each) _____ (56 points)

Problems:

Job 1—Journalizing Bond Transactions (*1 point each*) _____ (40 points)

Job 2—Allocating Indirect Expenses (*1 point each*) _____ (66 points)

TOTAL POINTS _____ (212 points)

Graders: Please double check and verify all scores and answer keys!

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Member must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 90 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your Member ID in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations to two decimal places at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

Multiple Choice— (25 @ 2 pts. each)

1.	B	14.	A
2.	A	15.	D
3.	C	16.	B
4.	A	17.	A
5.	C	18.	A
6.	A	19.	D
7.	C	20.	B
8.	D	21.	D
9.	C	22.	C
10.	B	23.	B
11.	D	24.	D
12.	B	25.	B
13.	B		

Short Answer Problems— (each answer worth 2 points, 28 @ 2 = 56 points total)

1. **\$100,250**

2. (a) **\$390,000**

(b) **4.3**

(c) **1.7**

3.

Note to Grader:
Problem #3:
No points given for date.

Date	Description	Doc	Debit	Credit
12/31	Uncollectible Accounts Expense		913	
	Allowance for Uncollectible Accounts			913

4. (a) **May 9**

(b) **\$6,078.90**

(c) **30 days**

(d) **\$54.96**

(e) **\$6,024.65**

5.

Year	Straight-line Method	Double-Declining- Balance Method	Sum-of-the-Years'- Digits Method
2022	\$3,000	\$6,666.67	\$5,000
2023	\$3,600	\$5,333.33	\$4,800
2024	\$3,600	\$3,200.00	\$3,600

6. (a) **\$3.00**
(b) **zero**
(c) **\$6.00**
(d) **\$0.25**
(e) **\$6.00**
(f) **\$1.00**

Job 1—

Journalizing Bond Transactions (1 pt. each = 40 points total, no points given for date)

NOTE TO GRADER: Account titles can vary by textbook. As long as the student used the word expense or payable in their title where required, the title is acceptable, and student should receive the points.

Date	Description	Doc	Debit	Credit
2022				
May 1	Cash		60,000	
	12% Bonds Payable, 2026			60,000
Nov. 1	Bond Interest Expense		3,600	
	Cash			3,600
Dec. 31	Bond Interest Expense		1,200	
	Bond Interest Payable			1,200
31	Income Summary		4,800	
	Bond Interest Expense			4,800
2023				
Jan. 1	Bond Interest Payable		1,200	
	Bond Interest Expense			1,200
May 1	Bond Interest Expense		3,600	
	Cash			3,600
1	Cash		50,000	
	12% Bonds Payable, 2026			50,000
Nov. 1	Bond Interest Expense		6,600	
	Cash			6,600
Dec. 31	Bond Interest Expense		2,200	
	Bond Interest Payable			2,200
31	Income Summary		11,200	
	Bond Interest Expense			11,200

Job 2- Allocating Indirect Expenses to Departments (worth 1 point each, 66 points total)

Department	Basis: Assets	Percent	Insurance Expense	Allocation
Gen. Merchandise	\$220,000	44	\$32,000	\$14,080
Furniture	\$280,000	56	\$32,000	\$17,920
Combined Totals	\$500,000	100	--	\$32,000
Department	Basis: Square Ft.	Percent	Rent Expense	Allocation
Gen. Merchandise	14,000	43.75	\$36,000	\$15,750
Furniture	18,000	56.25	\$36,000	\$20,250
Combined Totals	32,000	100.00	--	\$36,000
Department	Basis: Square Ft.	Percent	Utilities Expense	Allocation
Gen. Merchandise	14,000	43.75	\$15,000	\$6,562
Furniture	18,000	56.25	\$15,000	\$8,438
Combined Totals	32,000	100.00	--	\$15,000
Department	Basis: Sales	Percent	Office Salaries	Allocation
Gen. Merchandise	\$420,000	45.65	\$78,000	\$35,607
Furniture	\$500,000	54.35	\$78,000	\$42,393
Combined Totals	\$920,000	100.00	--	\$78,000
Department	Basis: Sales	Percent	Other Office	Allocation
Gen. Merchandise	\$420,000	45.65	\$4,000	\$1,826
Furniture	\$500,000	54.35	\$4,000	\$2,174
Combined Totals	\$920,000	100.00	--	\$4,000
Department	Basis: Sales	Percent	Uncollectible Accounts	Allocation
Gen. Merchandise	\$420,000	45.65	\$21,000	\$9,587
Furniture	\$500,000	54.35	\$21,000	\$11,413
Combined Totals	\$920,000	100.00	--	\$21,000

Note to Grader – Because of rounding, the allocation amounts for Utilities Expense and Uncollectible Accounts could be off by \$1. Please accept as correct.